



term, I'm sure there's as much focus on the banking crisis as there is on inflation. But the Fed can't let inflation not be taken care of, because part of the reason banks are in trouble is because of inflation. People have said, well, banks are in trouble because the Fed raised interest rates; well, the Fed did not raise interest rates, inflation raised interest rates! The Fed chased interest rates up in the market, [but] inflation is the real source of the banking crisis. These are not two separate problems. Inflation gave rise to the banking problem. And I think the Fed knows that it needs to fix the banking problem. But it also knows that there's a bigger source problem, which is inflation, and they need to take care of that as well. The two are interconnected.

Q: Now, is this an American problem, because there have been ripples and tremors across Europe as well. In India, the regulators have said so far that our system is different, our safeguards are different, and India is not in the same boat. Do you therefore see it as a localised American problem? Or does it have global ramifications?

A: It is less to do with geography than with parts of the world where interest rates have risen a lot. That's true in Europe and the US; if you look at interest rates, the T-bond rate at the start of 2022 was 1.5 per cent. At the end of 2022, it was 4 per cent. In Europe, at the start of 2022, the Euro 10-year bond rate was close to 0 per cent. By the end of 2022, it was 2.5 per cent. Any market where rates have gone up significantly is a market with a bank-

ing problem. And it's not just a banking problem. It's a problem with a lot of companies that have essentially mismatched durations, which companies do all the time. But these are the times when that mismatching comes back to haunt you. What saved us is not that the Indian regulators are more forward-looking and banks are more secure. It's simply because rates in India have not risen the way they have in the rest of the world. And that's true for a lot of Asia. So I think what separates the parts of the world that are not seeing a banking problem from the parts of the world that are seeing a banking problem is looking at what rates in that part of the world have done. And that's going to give you the answer.

Q: Speaking of the Indian banking system, you said recently that the Adani Group had exposed the weakest links of the Indian financial system. Were you alluding to specific banks or insurance companies?

A: I think this is no secret that if you go back in time, [the] Indian banking and Indian family group companies have been linked at the hip, which is you loan to a family group, and you don't always do the due diligence that you would have done with an individual company. Not because you're necessarily corrupt, but because you assume the family will come through. I think that's a very dangerous mechanism for lending. I was talking about the close relationships between lenders and the businesses they lend to, which can lead to being sloppy in your lending. I think that that is a weak link in the Indian system, we know it's a weak link, it's led to some In-